OPERIXA ERP

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COMPANY INTRODUCTION

OPERIXA ERP is a B2B software and hardware vendor selling enterprise resource planning solutions to mid-market businesses. The company offers:

-19 Software Products (modules, add-ons, services) including core ERP, accounting, inventory management, CRM, analytics, and implementation support

-6 Hardware (5 Electronics, 1accessory) including POS terminals, barcode scanners, printers, and connectivity hardware

Over 2 years (2024-2025), Nexa has processed 50,000+ orders generating $411.88M in combined revenue, selling through multiple geographic markets and distribution channels.

THE STRATEGIC PROBLEM

Nexa ERP has achieved strong revenue ($205.79M in 2025) and reasonable profitability (65% gross margin, 80% contribution margin). However, leadership is asking a critical question: "Are we actually building a sustainable, scalable business — or are we just moving high volumes of products without strategic direction?"

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"BUSINESS OVERVIEW"

Revenue 2025

$205.79M

▼ -0.15% VS PY

Average order value 2025

$8,235.40

▼ -0.05% VS PY

Total Order 2025

24988

▼ -0.10% VS PY

COGS Profit Margin 2025

65.77%

▲ 0.078% VS PY

Contribution Margin

79.91%

▲ 0.060% VS PY

Developed by Zahra Sorayanezhad

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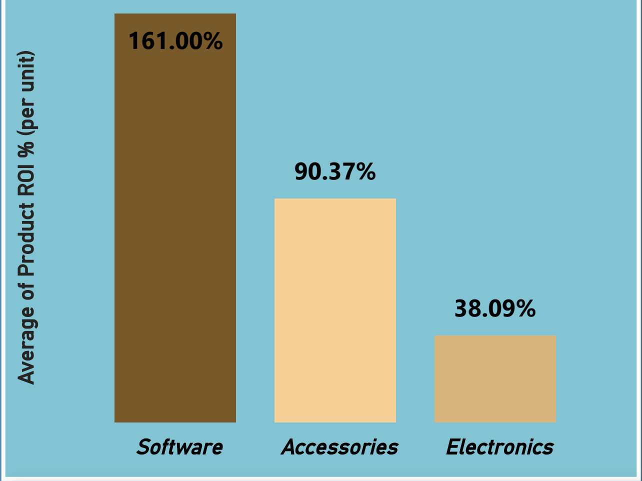
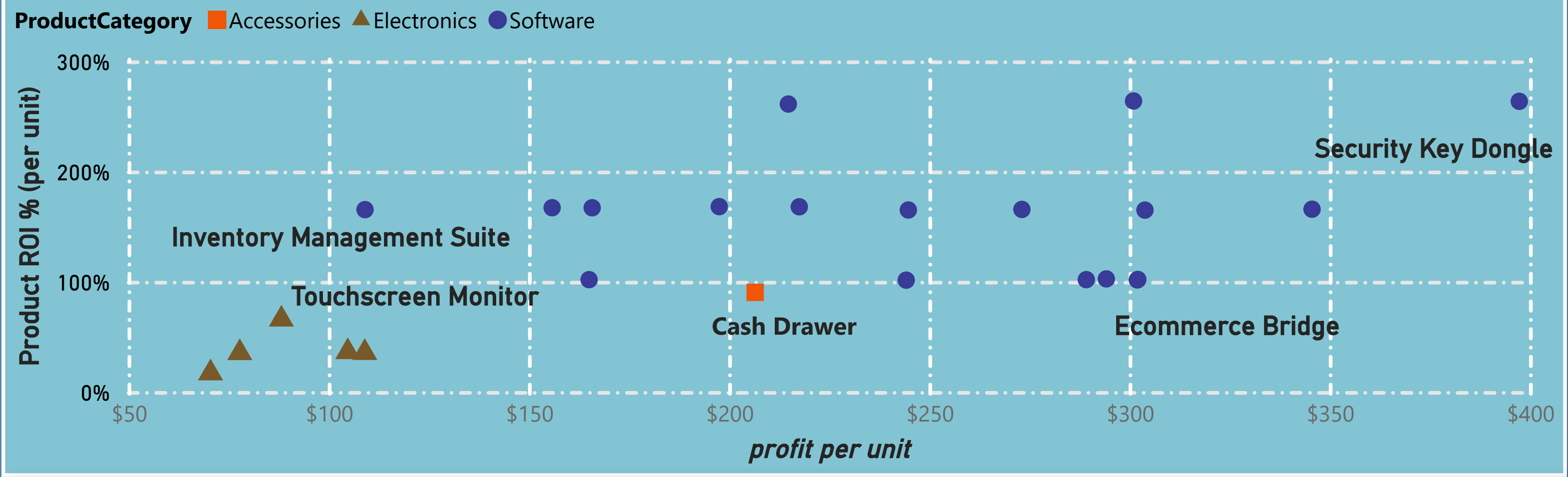
CHALLENGE 1: PRODUCT MIX UNCERTAINTY

"Our software products generate 100-300% ROI. Our hardware products generate 10-100% ROI. Are we building a software company that happens to sell hardware, or a balanced hardware-software vendor?
Should we: → Expand software and de-prioritize hardware?
→ Reprice hardware to improve ROI?
→ Exit the hardware market entirely?"

"Which Product Category Generates Most Profit Per Dollar?"



"Where Does Each Product Stand? Profit vs ROI by Product"



"Software products generate 161% ROI on average. Accessories generate 90.37% ROI. Electronics generate only 38.09% ROI. This means: for every $1 of cost in software, we make $1.61 profit. For every $1 of cost in electronics, we make only $0.38 profit. Software is 4.2x MORE EFFICIENT than electronics.
Decision: Allocate 80% of sales resources to software, 20% to hardware/accessories.
This efficiency gap justifies a software-first go-to-market strategy.

Quadrant 1 (Top-Right): HIGH Profit + HIGH ROI
→ Example: "Security Key Dongle" ($397 profit, 264% ROI) → Interpretation: Scalable product, easy to make, high margin → Decision: PUSH HARD, reward sales reps generously
Quadrant 2 (Top-Left): LOW Profit + HIGH ROI → Example: Inventory Management Suit ($109 profit, 165% ROI) → Interpretation: Easy to produce, low cost, but low revenue per sale → Decision: Volume play, low-touch sales
Quadrant 3 (Bottom-Left): LOW Profit + LOW ROI → Example: Old product nobody wants → Interpretation: Neither profitable nor efficient → Decision: DISCONTINUE
Quadrant 4 (Bottom-Right): HIGH Profit + LOW ROI → Example: Some Software (~$300 profit, ~100% ROI) → Interpretation: Expensive to make, low efficiency → Decision: REPRICE or DISCONTINUE

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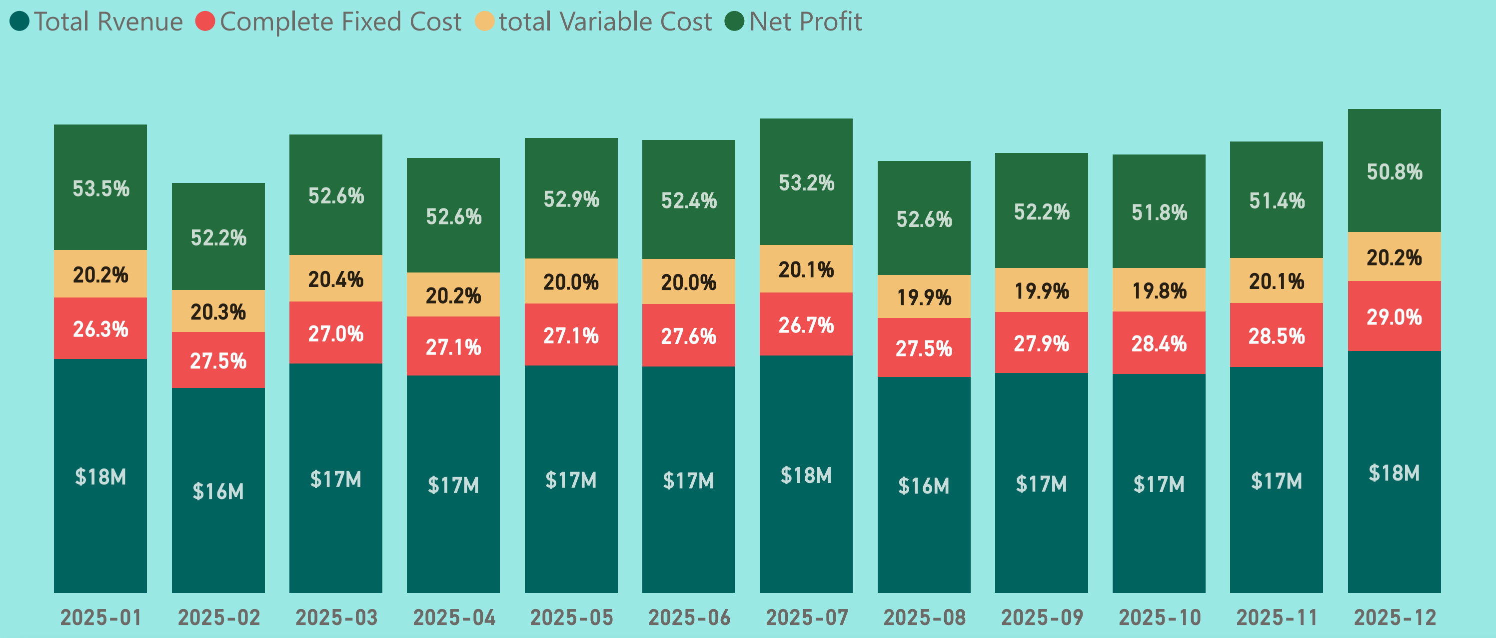
"CHALLENGE 2: PROFITABILITY VULNERABILITY

"Fixed costs represent 27.2% of revenue ($56.7M of $205.8M). Even a severe -50% demand drop leaves us profitable at $25.5M — but a 65.5% drop flips us into loss territory. This gives a 2.90x safety cushion
Decision needed: Reduce fixed costs to widen the cushion,
lock in customer volume through multi-year contracts, or accept current risk and deploy profit into growth? "

"Where Does Each Revenue Dollar Go in 2025?"



" How Resilient Are We to Revenue Decline?"

Scenario Name	Scenario Revenue	Scenario Profit
Current situation	$205,786,186	$107,726,852
-25% drop	$154,339,640	$66,615,917
-50% drop	$102,893,093	$25,504,982
-65.5% drop	$70,975,656	($242)
-75% drop	$51,446,547	($15,605,953)
-78% drop	$45,272,961	($20,539,266)
-80% drop	$41,157,237	($23,828,141)

INSIGHTS:

52.4% of every revenue dollar becomes profit; fixed costs (27.2% of revenue) are the structural constraint. This gives a 2.90x safety cushion:

Safety Cushion = Current Revenue / Break-Even Revenue = $205,786,186 / $70,975,656 = 2.90x

Even a -50% demand drop leaves $25.5M profit. only a -65.5% collapse flips us into loss. This isn't inefficiency (margin is 79.91%) — it's fixed cost exposure.

STRATEGIC OPTIONS:

Option 1 (Widen the Cushion): Cut fixed costs 15-20% → break-even drops to ~$60M, cushion grows to ~3.4x. Trade-off: less growth investment.

Option 2 (Lock in Volume): Multi-year contracts guaranteeing 60-70% volume. Trade-off: less pricing flexibility.

Option 3 (Recommended - Accept Risk, Invest in Growth): Keep current structure, deploy profit into growth. Trade-off: exposed only below -65.5% demand collapse.